# ROLES AND OBJECTIVES OF FISCAL POLICY

## Learning Outcome

- describe roles and objectives of fiscal policy as well as arguments as to whether the size of a national debt relative to GDP matters

Fiscal policy involves the use of government spending and changing tax revenue to affect a number of aspects of the economy:

- Overall level of aggregate demand in an economy and hence the level of economic activity.
- Distribution of income and wealth among different segments of the population.
- Allocation of resources between different sectors and economic agents.

The discussion of fiscal policy often focuses on the impact of changes in the difference between government spending and revenue on the aggregate economy, rather than on the actual levels of spending and revenue themselves.

## Roles and Objectives of Fiscal Policy

A primary aim for fiscal policy is to help manage the economy through its influence on aggregate national output, that is, real GDP.

## Fiscal Policy and Aggregate Demand

Aggregate demand is the amount companies and households plan to spend. We can consider a number of ways that fiscal policy can influence aggregate demand. For example, an **expansionary** policy could take one or more of the following forms:

- Cuts in personal income tax raise disposable income with the objective of boosting aggregate demand.
- Cuts in sales (indirect) taxes to lower prices raise real incomes with the objective of raising consumer demand.
- Cuts in corporation (company) taxes to boost business profits may raise capital spending.
- Cuts in tax rates on personal savings to raise disposable income for those with savings, with the objective of raising consumer demand.
- New public spending on social goods and infrastructure, such as hospitals and schools, boost personal incomes with the objective of raising aggregate demand.

We must stress, however, that the reliability and magnitude of these relationships will vary over time and from country to country. For example, in a recession with rising unemployment, it is not always the case that cuts in income taxes will raise consumer spending because consumers may wish to raise their precautionary (rainy day) saving in anticipation of further deterioration in the economy. Indeed, in very general terms, economists are often divided into two camps regarding the workings of fiscal policy. **Keynesians** believe that fiscal policy can have powerful effects on aggregate demand, output, and employment when there is substantial spare capacity in an economy. **Monetarists** believe that fiscal changes only have a temporary effect on aggregate demand and that monetary policy is a more effective tool for restraining or boosting inflationary pressures. Monetarists tend not to advocate using monetary policy for countercyclical adjustment of aggregate demand. This intellectual division naturally will be reflected in economists' divergent views on the efficacy of the large fiscal expansions observed in many countries following the 2008–2009 Global Financial Crisis, along with differing views on the possible impact of quantitative easing.

## Government Receipts and Expenditure in Major Economies

In Exhibit 1, we present the total government revenues as a percentage of GDP for some major economies. This is the share of a country's output that is gathered by the government through taxes and such related items as fees, charges, fines, and capital transfers. It is often considered as a summary measure of the extent to which a government is involved both directly and indirectly in the economic activity of a country.

Taxes are formally defined as compulsory, unrequited payments to the general government (they are unrequited in the sense that benefits provided by a government to taxpayers usually are not related to payments). Exhibit 1 contains taxes on incomes and profits, social security contributions, indirect taxes on goods and services, employment taxes, and taxes on the ownership and transfer of property.

**Exhibit 1: General Government Revenues as Percent of GDP**

| | 1995 | 2000 | 2005 | 2008 | 2010 | 2015 |
|---|---|---|---|---|---|---|
| Australia | 34.5 | 36.1 | 36.5 | 35.3 | 32.4 | 34.9 |
| Germany | 45.1 | 46.4 | 43.6 | 43.8 | 43.0 | 44.5 |
| Japan | 31.2 | 31.4 | 31.7 | 34.4 | 30.6 | 35.7 |

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|---|---|---|---|---|---|---|
| United States | 33.8 | 35.4 | 33.0 | 32.3 | 30.9 | 33.4 |
| OECD | 37.9 | 39.0 | 37.7 | 37.9 | 39.8 | 40.9 |

*Source:* Organisation for Economic Co-Operation and Development (OECD).

Taxes on income and profits have been fairly constant for the member countries of the Organisation for Economic Co-operation and Development (OECD) at around 12.5–13 percent of GDP since the mid-1990s, while taxes on goods and services have been steady at about 11 percent of GDP for that period. Variations between countries can be substantial; taxes on goods and services are around 5 percent of GDP for the United States and Japan but are more than 16 percent for Denmark.

Exhibit 2 shows the percentage of GDP represented by government expenditure in a variety of major economies over time. Generally, these have been fairly constant since 1995, although Germany had a particularly high number at the start of the period because of reunification costs. The impacts of governments' fiscal stimulus programs in the face of the 2008–2009 financial crisis show up as significant increases in government expenditures in Exhibit 2 and increases in government deficits between 2008 and 2010 are evident in Exhibit 3.

### Exhibit 2: General Government Expenditures as Percent of GDP

| | 1995 | 2000 | 2005 | 2008 | 2010 | 2015 |
|---|---|---|---|---|---|---|
| Australia | 38.2 | 35.2 | 34.8 | 34.3 | 34.4 | 36.2 |
| Germany | 54.8 | 45.1 | 46.9 | 43.8 | 47.3 | 43.9 |
| Japan | 36.0 | 39.0 | 38.4 | 37.1 | 39.6 | 39.4 |
| United Kingdom | 44.1 | 36.6 | 44.0 | 47.5 | 47.6 | 42.2 |
| United States | 37.1 | 33.9 | 36.2 | 38.8 | 42.9 | 37.6 |
| OECD | 42.7 | 38.7 | 40.5 | 41.4 | 45.2 | 41.8 |

*Source:* OECD.

Clearly, the possibility that fiscal policy can influence output means that it may be an important tool for **economic stabilization**. In a recession, governments can raise spending (**expansionary fiscal policy**) in an attempt to raise employment and output. In boom times—when an economy has full employment and wages and prices are rising too fast—government spending may be reduced and taxes raised (**contractionary fiscal policy**).

Hence, a key concept is the budget surplus or deficit, which is the positive or negative difference between government revenue and expenditure for a fixed period of time, such as a fiscal or calendar year. Government revenue includes tax revenues net of transfer payments; government spending includes interest payments on the government debt. Analysts often focus on changes in the budget surplus or deficit from year to year as indicators of whether the fiscal policy is getting tighter or looser. An increase in a budget surplus would be associated with contractionary fiscal policy, while a rise in a deficit is an expansionary fiscal policy. Of course, over the course of a business cycle, the budget surplus will vary automatically in a countercyclical way. For example, as an economy slows and unemployment rises, government spending on social insurance and unemployment benefits will also rise and add to aggregate demand. This is known as an **automatic stabilizer**. Similarly, if boom conditions ensue and employment and incomes are high, then progressive income and profit taxes are rising and also act as automatic stabilizers increasing budget surplus or reducing budget deficit. The great advantage of automatic stabilizers is that they are automatic and do not require the identification of shocks to which policy makers must consider a response. By reducing the responsiveness of the economy to shocks, these automatic stabilizers reduce output fluctuations. Automatic stabilizers should be distinguished from discretionary fiscal policies, such as changes in government spending or tax rates, which are actively used to stabilize aggregate demand. If government spending and revenues are equal, then the budget is **balanced**.

### Exhibit 3: General Government Net Borrowing or Lending as Percent of GDP

| | 1995 | 2000 | 2005 | 2008 | 2010 | 2015 |
|---|---|---|---|---|---|---|
| Australia | –3.7 | 0.9 | 1.7 | –3.8 | –4.4 | –2.2 |
| Germany | –9.7 | 1.3 | –3.3 | –0.2 | –4.2 | 0.8 |
| Japan | –4.7 | –7.6 | –6.7 | –4.1 | –9.1 | –3.6 |
| United Kingdom | –5.8 | 3.7 | –3.3 | –5.1 | –9.4 | –4.2 |
| United States | –3.3 | 1.5 | –3.3 | –7.0 | –12.0 | –4.2 |
| OECD | –4.8 | 0.2 | –2.7 | –1.5 | –5.1 | –1.9 |

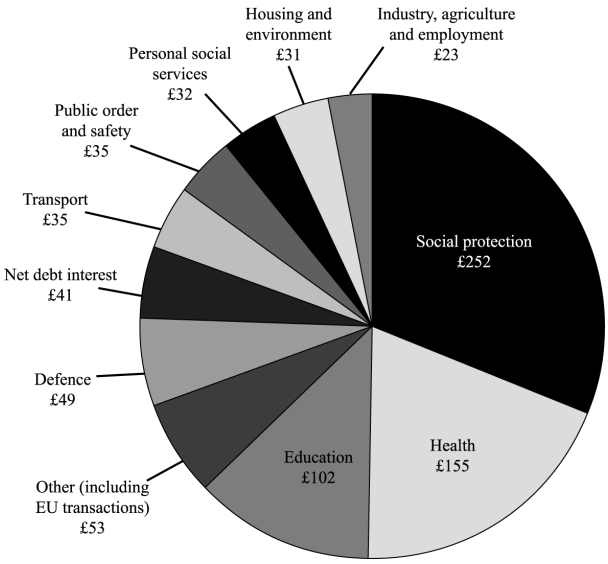
*Source:* OECD.

### EXAMPLE 1

## Sources and Uses of Government Cash Flows: The Case of the United Kingdom

we have presented the budget projections of the United Kingdom for 2018/2019. The budget projected that total spending would come to GBP808 billion, whereas total revenue would be only GBP769 billion. The government was therefore forecasting a budget shortfall of GBP39 billion for the fiscal year, meaning that it had an associated need to borrow GBP39 billion from the private sector in the United Kingdom or the private and public sectors of other economies.

**Exhibit 4: Where Does the Money Go? United Kingdom, 2018–2019**

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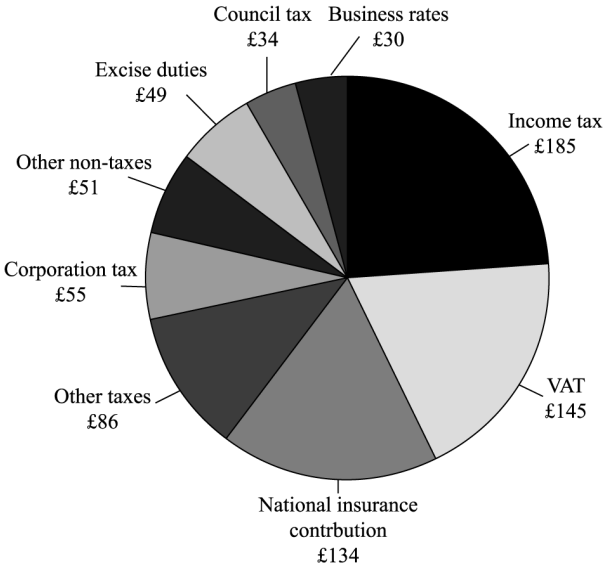
*Note*: All values are in billions of pounds.*Source*: HM Treasury, United Kingdom.

**Exhibit 5: Where Does the Money Come From? United Kingdom, 2018–2019**

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*Note*: All values are in billions of pounds.*Source*: HM Treasury, United Kingdom.

## Question Set

**1.** The *least likely* goal of a government's fiscal policy is to:

**A.** redistribute income and wealth.
**B.** influence aggregate national output.
**C.** ensure the stability of the purchasing power of its currency.

Hide Solution

C is correct. Ensuring stable purchasing power is a goal of monetary rather than fiscal policy. Fiscal policy involves the use of government spending and tax revenue to affect the overall level of aggregate demand in an economy and hence the level of economic activity.

**2.** Which of the following *best* represents a contractionary fiscal policy?

**A.** Temporary suspension of payroll taxes
**B.** Public spending on a high-speed railway
**C.** Freeze in discretionary government spending

Hide Solution

**Solution:**

C is correct. A freeze in discretionary government spending is an example of a contractionary fiscal policy.

**3.** A "pay-as-you-go" rule, which requires that any tax cut or increase in entitlement spending be offset by an increase in other taxes or reduction in other entitlement spending, is an example of which fiscal policy stance?

**A.** Neutral
**B.** Expansionary
**C.** Contractionary

Hide Solution

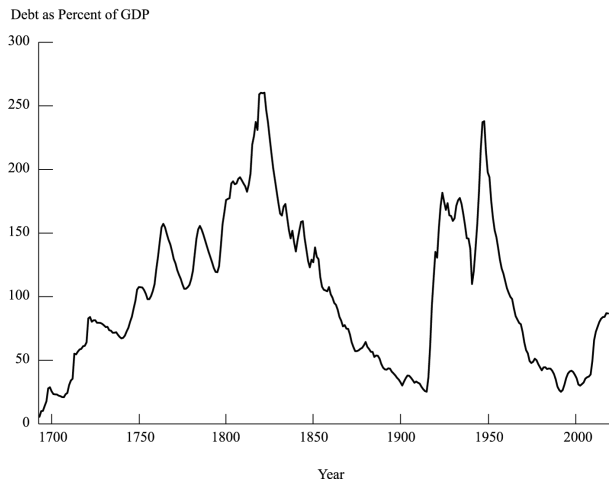
**Solution:**

A is correct. A "pay-as-you-go" rule is a neutral policy because any increases in spending or reductions in revenues would be offset. Accordingly, there would be no net impact on the budget deficit/surplus.

## Deficits and the National Debt

Government deficits are the difference between government revenues and expenditures over a period of calendar time, usually a year. Government (or national) debt is the accumulation over time of these deficits. Government deficits are financed by borrowing from the private sector, often through private pension and insurance fund portfolio investments. We read that governments are more likely to have deficits than surpluses over long periods of time. As a result, a large stock of outstanding government debt may be owned by the private sector. This will vary as the business cycle ebbs and flows. Exhibit 6 shows the time path of the ratio of public debt to GDP for the United Kingdom over several hundred years. It can be clearly seen that the major cause of fluctuations in that ratio through history has been the financing of wars, in particular the Napoleonic Wars of 1799–1815 and the First and Second World Wars of 1914–1918 and 1939–1945.

**Exhibit 6: UK National Debt as Percent of GDP, 1692–2018**




*Source*: http://ukpublicspending.co.uk.

With the onset of the credit crisis of 2008, governments actively sought to stimulate their economies through increased expenditures without raising taxes and revenues. This led to increased borrowing, shown in Exhibit 7, which became a concern in the financial markets in 2010 for such countries as Greece. Indeed, between 2008 and 2009, according to the OECD, central government debt rose from USD1.2 trillion to USD1.6 trillion in the United Kingdom and from USD5.8 trillion to USD7.5 trillion for the United States. The fiscal expansion by governments in the face of the financial crisis seems to have significantly raised the general government debt-to-GDP ratio over the long term for many countries, as illustrated in Exhibit 7.

| | 1995 | 2000 | 2005 | 2008 | 2010 | 2015 |
|---|---|---|---|---|---|---|
| Australia | 57.3 | 41.1 | 30.0 | 30.0 | 41.9 | 64.1 |
| Germany | 54.1 | 59.5 | 70.1 | 68.1 | 84.5 | 78.9 |
| Japan | 94.7 | 142.6 | 176.2 | 181.6 | 207.5 | 237.4 |
| United Kingdom | 51.4 | 48.7 | 51.3 | 63.3 | 88.8 | 111.7 |
| United States | 83.2 | 61.7 | 79.0 | 93.2 | 117.0 | 125.3 |
| OECD | 65.8 | 59.9 | 59.5 | 60.8 | 73.0 | 85.3 |

*Source:* www.oecd.org.

Ultimately, if the ratio of debt to GDP rises beyond a certain unknown point, then the solvency of the country comes into question. An additional indicator for potential insolvency is the ratio of interest rate payments to GDP, which is shown for some major economies in Exhibit 8. These represent payments required of governments to service their debts as a percentage of national output and, as such, reflect both the size of debts and the interest charged on them.

**Exhibit 8: General Government Net Debt Interest Payments as Percent of GDP**

| | 1995 | 2000 | 2005 | 2008 | 2010 | 2015 |
|---|---|---|---|---|---|---|
| Australia | 3.5 | 1.7 | 1.0 | –0.5 | 0.0 | 0.3 |
| Germany | 2.9 | 2.7 | 2.4 | 2.3 | 2.1 | 0.9 |
| Japan | 1.3 | 1.5 | 0.8 | 0.3 | 0.6 | 0.4 |
| United Kingdom | 3.1 | 2.4 | 1.8 | 1.7 | 2.6 | 2.0 |
| United States | 3.5 | 2.5 | 1.8 | 2.6 | 2.9 | 2.8 |
| OECD | 3.6 | 2.5 | 1.8 | 1.9 | 2.1 | 1.9 |

Source: OECD.

Government spending was far in excess of revenues following the credit crisis of 2007–2010 as governments tried to stimulate their economies; this level of spending raised concerns in some quarters about the scale of governmental debt accumulation. Exhibit 7 shows that government debt relative to GDP for the OECD countries overall rose from 59.5 percent in 2005 to 85.3 percent in 2015. In Japan, where fiscal spending has been used to stimulate the economy from the early 1990s, the ratio has risen from 94.7 percent in 1995 to 237.4 percent in 2015. If an economy grows in real terms, so do the real tax revenues and hence the ability to service a growing real debt at constant tax rate levels. If, however, the real growth in the economy is lower than the real interest rate on the debt, then the debt ratio will worsen even though the economy is growing because the debt burden (i.e., the real interest rate times the debt) grows faster than the economy. Hence, an important issue for governments and their creditors is whether their additional spending leads to sufficiently higher tax revenues to pay the interest on the debt used to finance the extra spending.

However, within a national economy, the real value of the outstanding debt will fall if the overall price level rises (i.e., inflation, and hence a rise in nominal GDP even if real GDP is static) and thus the ratio of debt to GDP may not be rising. If the general price level falls (i.e., deflation), then the ratio may stay elevated for longer. If net interest payments rise rapidly and investors lose confidence in a government's ability to honor its debts, then financing costs may escalate even more quickly and make the situation unstable.

Should we be concerned about the size of a national debt (relative to GDP)? There are strong arguments both for and against:

- The arguments against being concerned about national debt (relative to GDP) are as follows:
  - The scale of the problem may be overstated because the debt is owed internally to fellow citizens. This is certainly the case in Japan and South Korea, where 93 percent is owned by local residents. Canada is similar with 90 percent of debt is owned by residents. However, other countries have a much lower percentage owned internally. According to data from the Bank for International Settlements (BIS) and International Monetary Fund (IMF), the figures are 53 percent and 73 percent in the United States and United Kingdom, respectively, whereas in Italy, only 46 percent is owned by local residents.
  - A proportion of the money borrowed may have been used for capital investment projects or to enhance human capital (e.g., training, education); these should lead to raised future output and tax revenues.
  - Large fiscal deficits require tax changes that actually may reduce distortions caused by existing tax structures.
  - Deficits may have no net impact because the private sector may act to offset fiscal deficits by increasing saving in anticipation of future increased taxes. This argument is known as "Ricardian equivalence" and is discussed in more detail later.
  - If there is unemployment in an economy, then the debt is not diverting activity away from productive uses (and indeed the debt could be associated with an increase in employment).
- The arguments in favor of being concerned about national debt are as follows:

entrepreneurial activity, leading to lower growth in the long run.

- If markets lose confidence in a government, then the central bank may have to print money to finance a government deficit. This ultimately may lead to high inflation, as evidenced by the economic history of Germany in the 1920s and more recently in Zimbabwe.
- Government borrowing may divert private sector investment from taking place (an effect known as crowding out); if there is a limited amount of savings to be spent on investment, then larger government demands will lead to higher interest rates and lower private sector investing.

An important distinction to make is between long- and short-run effects. Over short periods of time (say, a few years), crowding out may have little effect. If it lasts for a longer time, however, then capital accumulation in an economy may be damaged. Similarly, tax distortions may not be too serious over the short term but will have a more substantial impact over many years.

## Question Set

**1.** Which of the following is *not* associated with an expansionary fiscal policy?

**A.** Rise in capital gains taxes
**B.** Cuts in personal income taxes
**C.** New capital spending by the government on road building

Hide Solution

**Solution:**

A is correct. A rise in capital gains taxes reduces income available for spending and hence reduces aggregate demand, other things being equal. Cutting income tax raises disposable income, while new road building raises employment and incomes; in both cases, aggregate demand rises and hence policy is expansionary.

**2.** Fiscal expansions will *most likely* have the greatest impact on aggregate output when the economy is in which of the following states?

**A.** Full employment
**B.** Near full employment
**C.** Considerable unemployment

Hide Solution

**Solution:**

C is correct. When an economy is close to full employment, a fiscal expansion raising aggregate demand can have little impact on output because there are few spare unused resources (e.g., labor or idle factories); instead, there will be upward pressure on prices (i.e., inflation). The greatest impact on aggregate output will occur when there is considerable unemployment.

**3.** Which one of the following is *most likely* a reason to *not* use fiscal deficits as an expansionary tool?

**A.** They may crowd out private investment.
**B.** They may facilitate tax changes to reduce distortions in an economy.
**C.** They may stimulate employment when there is substantial unemployment in an economy.

Hide Solution

**Solution:**

A is correct. A frequent argument against raises in fiscal deficits is that the additional borrowing to fund the deficit in financial markets will displace private sector borrowing for investment (i.e., crowding out).

**4.** The *most likely* argument against high national debt levels is that:

**A.** the debt is owed internally to fellow citizens.
**B.** they create disincentives for economic activity.
**C.** they may finance investment in physical and human capital.

Hide Solution

**Solution:**

B is correct. The belief is that high levels of debt to GDP may lead to higher future tax rates, which may lead to disincentives to economic activity.

**5.** Which statement regarding fiscal deficits is *most* accurate?

**A.** According to the Ricardian equivalence, deficits have a multiplicative effect on consumer spending.
**B.** Higher government spending may lead to higher interest rates and lower private sector investing.

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**Solution:**

B is correct. Government borrowing may compete with private sector borrowing for investment purposes.

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RM What is being implied by "tax distortions" here?

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